



However, such calculations may be relatively easy to do with hypothetical examples but in real scenarios it is difficult. We must work with approximations and rough numbers therefore. We are aiming to have a systematic approach to risk taking while we trade using this risk management tool.

OVER TRADING OR UNDER TRADING, ARE BOTH BAD FOR US. WE WANT TO ENSURE THAT OVERALL, THE PORTFOLIO GROWS AND LOSSES STAY MINIMAL.

RISK TO REWARD RATIO

RISK TO REWARD RATIO IS A MEASURE OF RISK UNDERTAKEN FOR A SPECIFIC REWARD TARGET IN A SPECIFIC PERIOD OF TIME.

$$\text{RISK REWARD RATIO} = \frac{\text{POTENTIAL RISK OF LOSS IN A TRADE}}{\text{EXPECTED RETURN}}$$

Let's say, we have a trade in which the potential loss (downside) is of ₹150 and expected upside is of ₹50. The risk to reward ratio here will be of 3:1. Similarly, if the potential loss is of ₹50 and expected profits are of ₹150, the ratio will be 1 : 3.